As an exchange rate system, the SDR is an average exchange rate derived from a basket of five currencies viz, US Dollar, Euro, UK Pound Sterling, Japanese Yen and Chinese Renminbi (RMB). In this system, these five currencies are assigned different weightage as per their importance in world economy and an exchange rate is derived which is called as SDR. The exchange rate of a country is expressed against SDR. For example; ₹30 = 1 SDR. You may see quota of India in IMF as SDR 4158.2 million (or something else if altered). Here India's quota is expressed in SDR, in place of Indian rupee or US Dollar.

As a loan arrangement, the member countries are entitled to get loan from IMF's Special Drawing Account. This loan amount is up to 200 per cent of the member's quota with IMF. It is also known as paper gold. In this arrangement IMF does not lend directly. It is the member countries, who are in strong position, lend their SDR holdings to member countries who are in Balance of Payment problem.

Foreign Exchange

Exchange Rate

It is the rate at which home currency is exchanged for one unit of foreign currency. For example ₹50 = US $1. M.L. Jhingan defines exchange rate as follow. "The foreign exchange rate or exchange rate is the rate at which one currency is exchanged for another. It is the price of one currency in terms of another currency". The exchange rate varies (either depreciates or appreciates) depending upon the demand for and supply of currencies.

Depreciation

Increase in the exchange rate i.e. fall in the external value of domestic currency because of additional demand for foreign currency (less supply of foreign currency) or excess supply of (less demand of) domestic currency is called depreciation.